



Let's **KT**

“The Value Networking Company”

CLSA Investors' Forum 2004

September 2004

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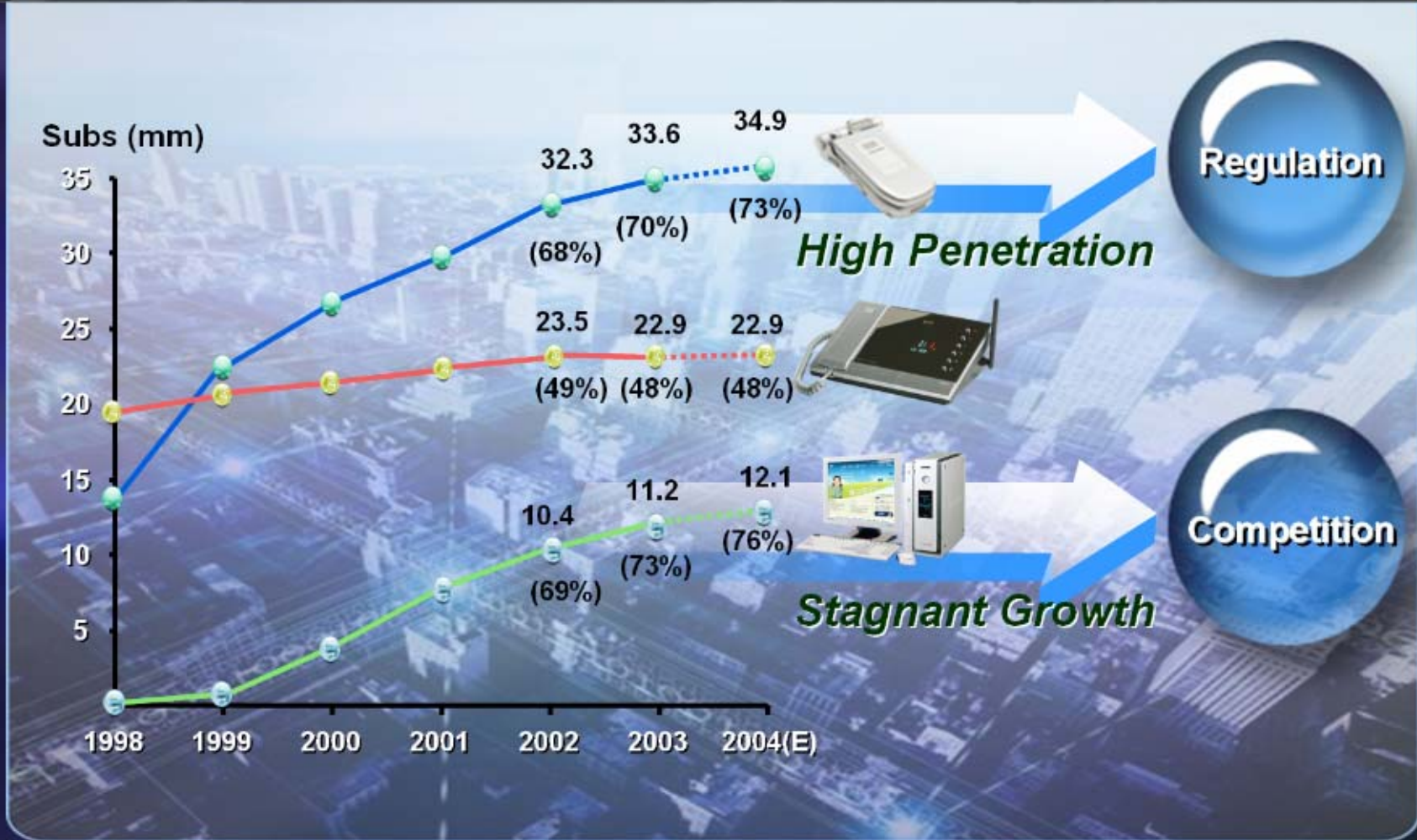
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Korean telecommunication industry



Source : MIC, KISDI

● Mobile

● Fixed voice

● Broadband

Neutral impact from regulations

Major Regulations

Wireless

- MNP starts from Jan 2004
- Mobile Tariff Cut : Aug 2004
- LM rebalancing : Sep 2004

Wireline

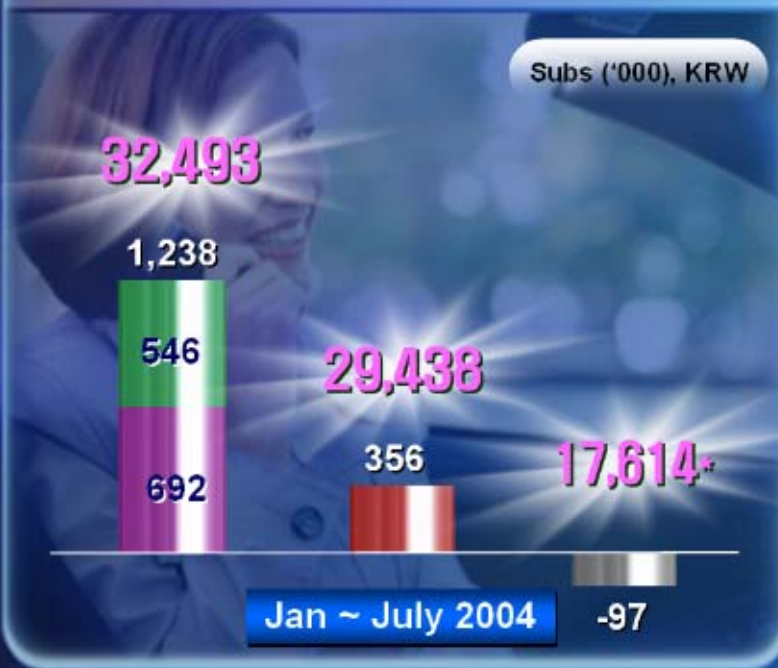
- LLU starts from Apr 2002
- FNP starts from June 2003



Successful response to competition

Subscriber Net Addition

Gain high ARPU subs (Mobile, Broadband)
Loose low ARPU subs (Fixed voice)

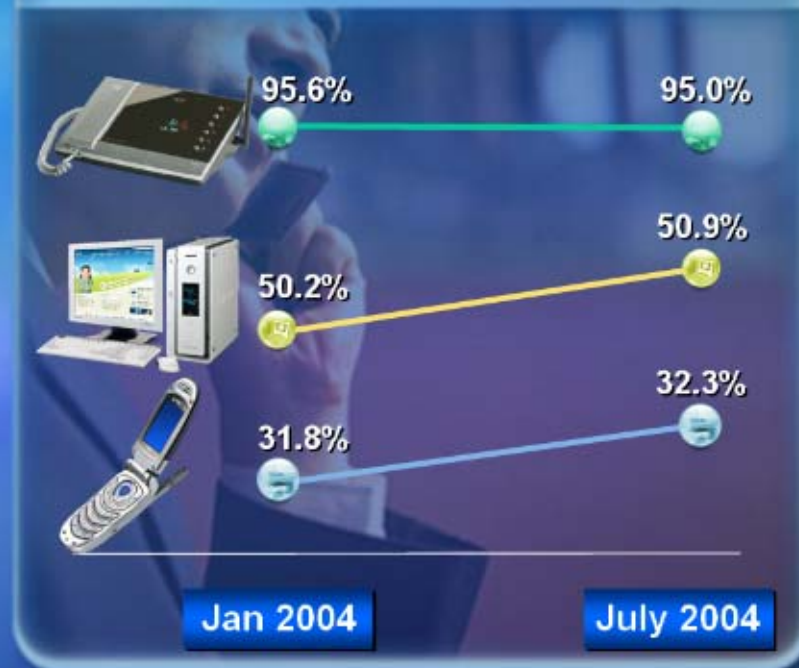


* Fixed voice ARPU : Excl. Interconnection



Market Share

Successful defense in Fixed voice
Increase Broadband & Mobile



Cost structure changes

Cost structure

(KRW: billion)



Sound Performance

(Unit: billion)



Revenue Operating Profit

FCF management

Strong FCF



* Excluding SKT share disposal

Full year First Half

FCF Usage

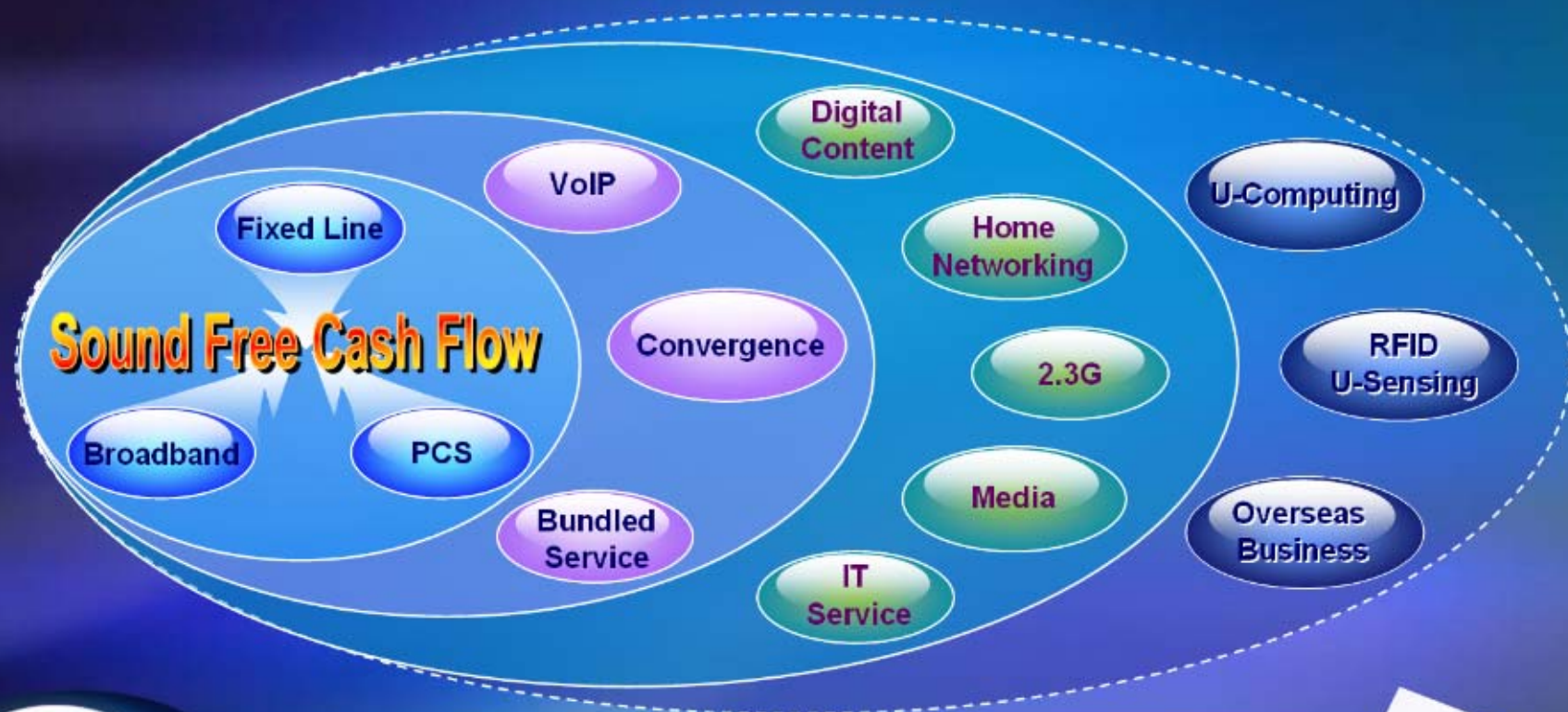
Maintain Shareholder return policy

- 2003 : KRW 625 bn return
- 2004 : KRW 633 bn return
- 2005 : Maintain Current level of return

Debt Restructuring

- Debt Reduction by 2.5 trillion until 2007
- Restructuring debt profile
 - Avg Debt Maturity : 3.5 years → over 5years
- Pre-funding 10years and 30 years Bonds for EB /BW redemption in 2005

Develop new business to level-up corporate value



CAPEX

Maintain Consolidated Capex Level at 3 trillion

:Save CAPEX on existing business → increase CAPEX on new business

Shareholder
Return

Consistent return policy : “ 50% or more of Net Income”



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